

You may think there's no fat in your budget, but nearly everyone can find some if they look hard enough. Consider it a challenge to find ways to cut your expenses, or make a game of it. If you smoke, why not quit? Smoking is one of the most expensive habits you can have; many couples spend as much on cigarettes as they would on a new car payment each month.

Speaking of car payments, ask yourself if you really need the gas-guzzling SUV you drive. You could save considerable money on gas, repairs and maintenance, and insurance, not to mention your monthly car payment, if you bought a less expensive, more fuel-efficient vehicle. You might even get some tax benefits.

Consider buying used instead of new. Check the classifieds for things such as exercise equipment, vehicles, musical instruments, electronics, and more. You can often get great bargains on items that may be as good as new.

Saving for Large Purchases

There are a number of benefits to saving for a big purchase rather than buying it on credit. First of all, you have plenty of time to change your mind about whether it's something you really need or want. Have you noticed how many backyards have unused swimming pools or hot tubs? If you run right out and charge the item to your credit card or take out a loan, you'll be stuck paying for the item for a long time. Paying cash also gives you the satisfaction of really owning the item, and you'll pay much less for it because you won't be paying interest.